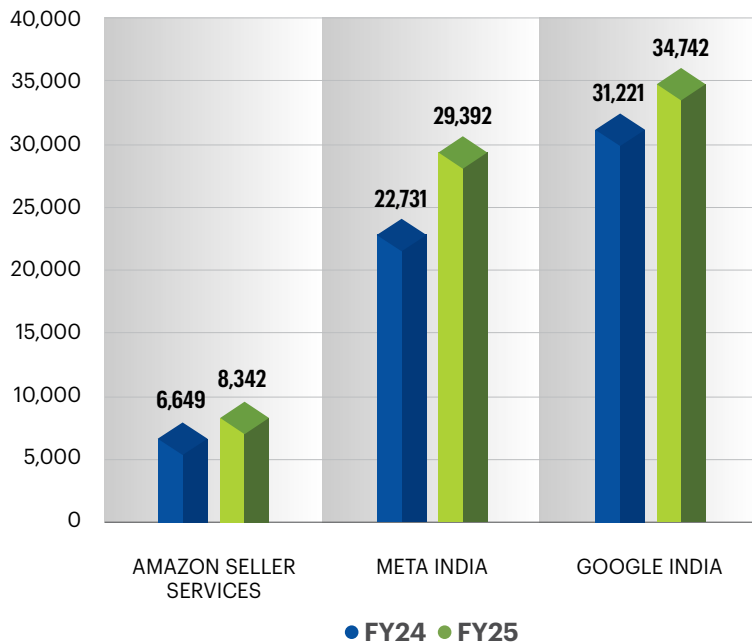


TECH GIANTS IN INDIA

• Gross advertising revenue in FY24 and FY25



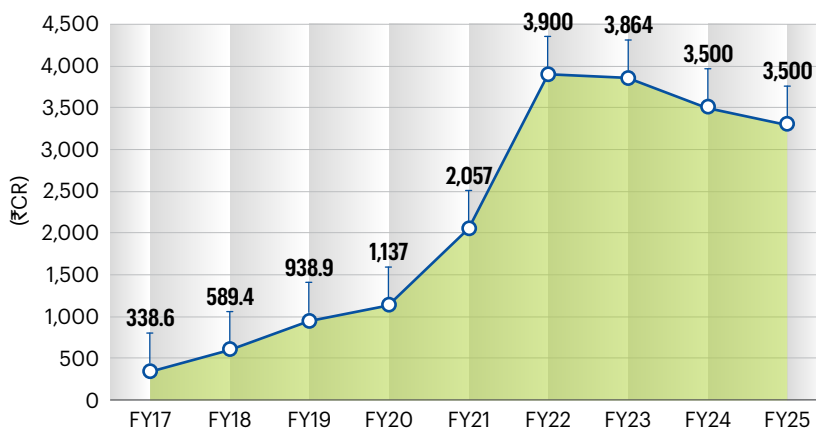
NOTE FIGURES IN ₹ CRORE

SOURCE COMPANY ANNUAL REPORTS, MEDIA REPORTS

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THE BIG BUCKS

• Year-wise collections from Google tax



SOURCE MEDIA REPORTS, GOVERNMENT OF INDIA WEBSITES

Partner, Katalyst Advisors.

This is how the model works: the global entity bills the Indian subsidiary, and the subsidiary, in turn, pays a significant amount to the Indian parent. Eventually, the Indian subsidiaries are usually left with relatively small profits. “But that payment to the parent is essentially a transfer-pricing matter, for which there are separate and well-established regulations. Hence, it may not be appropriate to conclude that there is a diversion of profit, because transfer pricing is precisely the mechanism to ensure that inter-company payments are appropriate, at arm’s length, and aligned with where the profit should actually belong.”

Globally, the OECD and G20 framework on Base Erosion and Profit Shifting (BEPS) aims to tackle challenges around the digital economy, where MNCs move profits to low- or no-tax jurisdictions. The loss in annual revenue could be to the tune of \$100-240 billion, or 4-10% of global corporate income tax, according to the OECD.

According to Rohinton Sidhwa, Partner, Deloitte India, given the state of the world order today, any further progress on Pillar One of BEPS—which reallocates taxing rights over MNCs to countries where their consumers are, regardless of whether they have a physical presence there—is unlikely. “Taxing international payments for several online services (such as those for advertising and promotional services) will be challenging due to the prevailing tax laws and treaty dispensations,” he says.

The rub is that both phases of the equalisation levy have now been withdrawn. “With that, India currently does not have a dedicated digital services tax applicable to foreign technology companies.